8. Income taxes

The provision for income taxes consists of the following (dollars in thousands):

	Year ended December 31, 2005		
	Current	Deferred	Total
Bermuda	$ —	$ —	$ —
United States	824	(1,455)	(631)
Other	8,969	(3,323)	5,646
	$ 9,793	$ (4,778)	$ 5,015

	Year ended December 31, 2004		
	Current	Deferred	Total
Bermuda	$ —	$ —	$ —
United States	310	538	848
Other	4,278	(2,575)	1,703
	$ 4,588	$ (2,037)	$ 2,551

	Year ended December 31, 2003		
	Current	Deferred	Total
Bermuda	$ —	$ —	$ —
United States	(294)	(146)	(440)
Other	3,445	(2,003)	1,442
	$ 3,151	$ (2,149)	$ 1,002

The Company is incorporated in Bermuda, which does not impose an income tax. OEH's effective tax rate is entirely due to income taxes imposed by jurisdictions in which OEH conducts business other than Bermuda.

Deferred income taxes reflect the net tax effects of temporary differences between the carrying amount of assets and liabilities for financial reporting purposes and the amounts used for income tax purposes. The following represents OEH's net deferred tax liabilities (dollars in thousands):

	December 31,	
	2005	2004
Gross deferred tax assets (operating loss carry forwards)	$ 60,177	$ 64,493
Less: valuation allowance	(22,487)	(31,996)
Net deferred tax assets	37,690	32,497
Deferred tax liabilities	(53,007)	(35,207)
Net deferred tax liabilities	$ (15,317)	$ (2,710)

The deferred tax liabilities at December 31, 2005 include a liability of $15,810,000 in respect of the Grand Hotel Europe. The liability is caused by the difference between the tax basis and the fair value of the depreciable and amortizable assets at the acquisition date.

The deferred tax assets consist primarily of tax loss carry forwards. The gross amount of tax loss carry forwards is $185,035,000. Of this amount, $59,402,000 will expire in the five years ending December 31, 2010, and a further $5,146,000 will expire in the five years ending December 31, 2015. The remaining losses of $120,487,000 will expire after December 31, 2015 or have no expiry date.

A valuation allowance has been provided against gross deferred tax assets where it is thought more likely than not that the benefits associated with these assets will not be realized. The decrease in the valuation allowance reflects primarily the fact that management now believes that certain deferred tax assets in respect of the U.S. and South African operations are more likely than not to be realized.

The deferred tax liabilities consist primarily of differences between the tax basis of depreciable assets and the adjusted basis as reflected in the financial statements.

OEH has prepared these financial statements pursuant to a tax sharing agreement with SCL and its subsidiaries. In accordance with that agreement, prior to August 10, 2000, the date of the Company's initial public offering, OEH utilized/relinquished losses with certain SCL subsidiaries. After that date, OEH may no longer utilize/relinquish losses with SCL and its subsidiaries. The following represents the

net liability that exists from OEH to SCL and its subsidiaries (dollars in thousands):

	Year ended December 31,		
	2005	2004	2003
Tax sharing agreement	—	$ (92)	$ (1,973)